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1 Capitalism - A Global History, Sven Beckert

1.1 Chapter 3 - The Great Connectiong, 1450-1650

- Prior to this, traded goods did not penetrate local markets, but they allowed for capital accumulation, which was not yet possible in agriculture or industry.
- We begin to see merchants moving to distant places, rather than just trading with them. (does this not contradict the innovation of chapter 1? large trading networks controlled by merchants in place?)
- In the 15th century, merchants began to invest in agriculture and manufacturing.
- prior to this, there needed to be a 'great connecting'
 - powered by a cooperation between merchants and state
- this great connecting was centered on europe because of their control of the atlantic - great divergence?
 - why europe? because europe was relatively weak and needed to overcome this
 - first: "European capital owners forged new islands of capital because they had great incentive to do so." - they had to circumvent muslim middlemen, thus the search for alternative routes to asia - columbus, cape of good hope etc.
 - second: European states were facing crises of Feudalism. Especially labor shortage.
 - third: European states needed funding for their wars.
 - "The relative weakness of European states and capitalists on the global stage drove them closer to one another and toward a consensus on projecting their power and capital into novel spaces and constructing entirely new islands of capital."
- European capital set up productive outposts in the New World. Slavery powered the colonies, and itself became quite profitable. Labor itself first became a commodity here in the form of enslaved people.

- European cities such as Amsterdam became ruled by the logic of capital: the market first penetrated everyday life here. But it would be small scale for a while.
- The great connecting created institutions:
 - Joint stock companies
 - Futures trading and stock exchanges
 - The family - the division of labor within the household
 - The state - backed the other institutions; upheld property rights; involved the military in trade and capitalism.
- With the increased involvement of states in trade, merchants also began to be more involved in politics: “rulers everywhere became more dependent on the fortunes and whims of the capitalists whose expansion they had enabled.”
- Back to the great divergence: merchants in china faced a more sophisticated and inflexible state that limited their influence
- The example of the Fuggers: combined state and merchant power. Built the first factories (i.e. storehouses), received mineral rights from states, etc.
- Sometimes the merchants took on statelike functions themselves, as with the East India companies.
- War capitalism: during this period, accumulation was largely driven by “coercive expansion of European nodes of capital”
 - unlike tributary economies, here the redistributed wealth went to merchants rather than rulers.
- As Europeans began to dominate trade, they undermined local merchants and existing muslim trade routes. They used force to create monopolies for themselves.

1.2 Chapter 4 - Transforming the Countryside, 1550-1750

- Barbados became “one of the world’s first recognizably capitalist societies”
- land becomes alienable in 17th century

- slaves become a form of fungible collateral for loans (market in labor)
- different form of labor control
 - indigenous slavery
 - indentured workers
 - serfdom
 - african slavery